Kids Business Basics

PARENT GUIDE

Watch together. Talk it through.

A home companion for the Expenses lesson

One idea. Five minutes.

Ages 7–12



A little conversation goes a long way

Watch the Expenses video together when it’s available, or start with the examples here. No printer, purchase or real money is needed.

Watch • talk • try

Watch. Pause if something catches your child’s interest.

Talk. Try asking, “Where did the money go?” Give your child time to explain in their own words.

Try. Pick one prompt on the next page if you’d like. You can talk, point or draw on scrap paper. Skip any prompt or stop whenever you like—there’s no score to aim for.

Go at your family’s pace

“One idea. Five minutes.” is our catchphrase, not a timer. Video lengths vary, and any conversation afterward is up to you.

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Money in, money out

Expenses are money spent to run an activity, such as buying supplies to make or sell something.

Revenue is money earned from sales before costs are taken away.

Profit is revenue minus expenses. To find profit, include all the activity's costs.

Pick one to explore

These prompts are conversation starters, not a checklist. The answers are on the next page.

1. Follow the money

A stand earns money from sales and spends money on cups. Which is revenue? Which is an expense?

2. Add the lemonade costs

Lemons cost $5, sugar $2 and cups $1. What are the total expenses?

3. Try another stand

Sticker stand: $8 in revenue, $2 spent on stickers. What are the expenses?

4. Wonder about profit

The lemonade stand later earns $20 from sales. If the $8 for supplies covers all its costs, is all $20 profit? What is left after counting those costs?

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Answers & gentle nudges

1. Follow the money

Sales money is revenue. Money spent on cups is an expense.

2. Add the lemonade costs

$5 + $2 + $1 = $8 in expenses.

3. Try another stand

$2 in expenses; $8 is revenue. If your child says $6, try asking, “Which amount was spent on stickers?”

4. Wonder about profit

No—the $20 is revenue. If $8 covers all the costs, profit is $20 − $8 = $12.

In the lemonade story, an earlier wallet paid the $8 for supplies before the sales jar filled. Count that cost once when calculating profit; it isn’t another $8 payment from the jar. Cash in the jar and profit are different.

If you’d like to keep going

Imagine a pretend stand together. Name one thing it might sell and one supply it might need. Drawing or talking is enough.

A note for grown-ups

Keep children’s personal details off shared pages. Grown-ups should supervise any real buying, selling or sharing of personal information. This guide is for education, not personalized financial, investment, tax or legal advice.

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A little pretend practice

Try either one if you'd like. Talk, write or draw—make it playful.

1. Spot the expenses

At a pretend bookmark stand, you spend $2 on paper and $1 on ribbon, then earn $9 from sales. Which amounts are expenses?

2. Add it up

For a pretend puppet stand, paper bags cost $3, glue costs $2 and yarn costs $1. What are the total expenses?

For parents

1. The $2 for paper and $1 for ribbon are expenses. The $9 from sales is revenue before costs, not profit.

2. $3 + $2 + $1 = $6 in expenses.

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